Cumulus Bank

Wealth management from Cumulus Bank

WEALTH MANAGEMENT · RETIREMENT

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PRODUCT BROCHURE · RETIREMENT

Cumulus Roth IRA

An after-tax individual retirement account for investors who expect qualified distributions to be tax-free in retirement, subject to the five-year rule and age 59½ requirements.

ACCOUNT TYPE	**Roth Individual Retirement Account (IRC §408A)**
2026 CONTRIBUTION LIMIT	**$7,000 regular · $8,000 if age 50+**
ROTH INCOME PHASE-OUT — SINGLE	**$153,000 – $168,000 MAGI**
ROTH INCOME PHASE-OUT — MFJ	**$240,000 – $250,000 MAGI**
ACCOUNT FEE	**$0 for balances ≥ $10,000; $25 annual otherwise**
INVESTMENT MENU	**Equities, ETFs, mutual funds, fixed income, CDs**
REQUIRED MINIMUM DISTRIBUTIONS	**None during the original owner's lifetime**
QUALIFIED DISTRIBUTIONS	**Tax-free after age 59½ and five-year rule**

AT A GLANCE

Overview

A Roth IRA is a tax-advantaged individual retirement account established under Section 408A of the Internal Revenue Code. Contributions are made with after-tax dollars — there is no tax deduction in the year of contribution — and qualified distributions of both contributions and earnings are received entirely free of federal income tax. Because Roth IRAs do not require distributions during the original owner's lifetime, they are commonly used for long-horizon retirement accumulation, tax-diversification, and multigenerational wealth transfer.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Suitability, risk tolerance, time horizon, and tax considerations should be discussed with your Cumulus advisor and confirmed with your tax professional before you contribute.

KEY BENEFITS

Why consider a Roth IRA

TAX-FREE QUALIFIED WITHDRAWALS

Tax-free qualified withdrawals

Qualified distributions of earnings are federal income tax-free when the account has been open five tax years and the owner is age 59½ or older (or meets a statutory exception).

TAX-FREE GROWTH

Tax-free growth

Interest, dividends, and capital gains earned inside a Roth IRA are not taxed while they remain in the account, allowing decades of compounding without annual tax drag.

CONTRIBUTION FLEXIBILITY

Contribution flexibility

Roth contributions (not earnings) may be withdrawn at any time, for any reason, without tax or penalty. This provides access in a hardship while preserving the account's tax treatment.

NO LIFETIME RMDS

No lifetime RMDs

Unlike Traditional IRAs and employer plans, a Roth IRA imposes no required minimum distributions during the original owner's lifetime, preserving tax-free compounding for as long as you choose.

ESTATE-PLANNING EFFICIENCY

Estate-planning efficiency

A Roth IRA may be inherited by a designated beneficiary and, for most non-spouse beneficiaries, distributed over the 10-year period required by the SECURE Act — often at favorable after-tax rates.

OPEN INVESTMENT MENU

Open investment menu

Choose from equities, ETFs, mutual funds, fixed income, and brokered CDs inside your Cumulus Roth IRA, or elect discretionary management under Cumulus Managed Advisory Services.

2026 TAX YEAR

Contribution limits and phase-outs

Annual contribution limits are set by the Internal Revenue Service under IRC §219 and §408A. Eligibility to contribute directly to a Roth IRA is phased out above specified modified adjusted gross income (MAGI) thresholds, which are updated each year for inflation. The figures below reflect the illustrative 2026 limits used for this brochure.

LIMIT	UNDER AGE 50	AGE 50 OR OLDER (CATCH-UP)	NOTES
Regular contribution	$7,000	$8,000	Contributions may be made for a tax year up to the April 15 federal income tax filing deadline of the following year.
Roth income phase-out — single	$153,000 – $168,000	Same	No direct Roth contribution above $168,000 MAGI; backdoor Roth conversion may be available.
Roth income phase-out — married filing jointly	$240,000 – $250,000	Same	No direct Roth contribution above $250,000 MAGI.
Roth income phase-out — married filing separately	$0 – $10,000	Same	Unusually restrictive threshold; consult your tax professional.
Spousal contribution	Up to the limit above	Same	A non-working spouse may contribute on joint earned income.

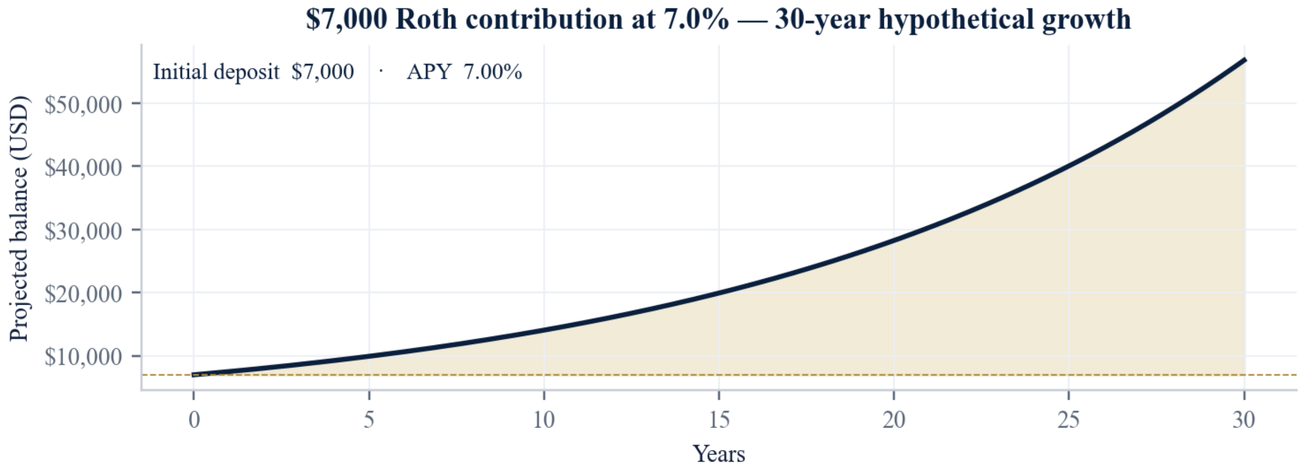
THE FIVE-YEAR RULE

Earnings in a Roth IRA are tax-free only if withdrawn as part of a qualified distribution — meaning the account has been open for at least five tax years and the owner is age 59½ or older, disabled, has died, or is withdrawing up to $10,000 for a first-time home purchase. The five-year period begins January 1 of the tax year of the first Roth contribution and is counted separately for conversions.

ILLUSTRATIVE GROWTH

The power of tax-free compounding

The chart below illustrates the hypothetical growth of a one-time $7,000 Roth contribution compounded at a 7.0% annualized rate over a 30-year horizon. Because qualified Roth distributions are not taxed, the ending balance generally represents after-tax wealth. The figure is for illustration only; actual investment results will vary and may be negative.



DISTRIBUTION RULES

Withdrawals and taxation

Roth distributions are applied under the IRS ordering rules: first from regular contributions (always tax- and penalty-free), then from conversions (potentially subject to the 10% early-withdrawal penalty if within five years of conversion and before age 59½), and finally from earnings (tax-free only if the distribution is qualified).

SOURCE WITHDRAWN	FEDERAL TAX	10% EARLY-WITHDRAWAL PENALTY
Regular contributions (at any time, any age)	None	None
Conversion amounts, within 5 years & before 59½	None (already taxed)	10% unless exception applies
Conversion amounts, after 5 years or age 59½	None	None
Earnings — qualified distribution	Tax-free	None
Earnings — nonqualified distribution	Ordinary income on earnings portion	10% on earnings unless exception applies

REQUIRED MINIMUM DISTRIBUTIONS

Original owners of a Roth IRA are not required to take minimum distributions during their lifetime. Non-spouse beneficiaries are generally subject to the 10-year distribution rule enacted by the SECURE Act (2019) and refined by SECURE 2.0 (2022). Missed RMDs on inherited Roth IRAs are subject to a 25% excise tax, reduced to 10% if corrected within the applicable correction window.

GETTING STARTED

Eligibility and opening

Who may contribute

- Any individual with taxable compensation, subject to the MAGI phase-outs above.
- A non-working spouse may contribute on the earned income of a working spouse when filing jointly.
- There is no upper age limit on Roth contributions (the prior 70½ rule was repealed by the SECURE Act).
- Backdoor Roth conversions are available to taxpayers over the income limits. Discuss the pro-rata rule of IRC §408(d)(2) with your tax professional before converting.

What you will need

- Government-issued photo identification and Social Security Number.
- Beneficiary designations — primary and contingent. Roth IRAs pass by beneficiary designation and override wills.
- A current, accurate suitability profile (time horizon, risk tolerance, liquidity needs, investment experience).
- Source of contribution (current-year, prior-year, transfer, or rollover) and, if a conversion, the originating plan.

COMMON QUESTIONS

Frequently asked questions

How do I know whether a Roth or Traditional IRA is right for me?

The right answer depends on your current marginal tax bracket, your expected marginal bracket in retirement, your time horizon, and your estate-planning objectives. A Roth is generally advantageous when you expect to be in a higher bracket in retirement; a Traditional IRA is generally advantageous in the opposite case. Your Cumulus advisor and tax professional can help you model your specific situation.

What happens if I contribute above the limit?

Excess contributions are subject to a 6% excise tax per year until corrected. You can withdraw the excess (and any earnings on it) by the October 15 extended filing deadline of the following year to avoid the excise tax; the earnings portion is taxable in the year contributed.

Can I roll an employer plan into a Roth IRA?

A Roth 401(k) or 403(b) balance may be rolled directly into a Roth IRA without tax. A pre-tax 401(k) balance may be converted to a Roth IRA but is generally a taxable event; a tax projection and an analysis of the pro-rata rule should be completed before converting.

Does a Roth IRA affect my ability to contribute to an employer plan?

No. Roth IRA contributions are independent of 401(k), 403(b), 457(b), or SIMPLE contributions. You may contribute the full IRA limit in addition to the full employee deferral limit in your employer plan, subject to the MAGI phase-outs.

What is the 'backdoor Roth' strategy?

A backdoor Roth conversion is a two-step transaction in which a non-deductible contribution is made to a Traditional IRA and then converted to a Roth IRA. It may be appropriate for taxpayers above the Roth income phase-outs, but the pro-rata rule applies to all Traditional, SEP, and SIMPLE IRAs you own — not only the converted one. Consult your tax professional before executing a backdoor Roth.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.
§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.
§ Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.
§ Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.
§ Roth IRA eligibility, contribution limits, and income phase-outs are established by the Internal Revenue Service and are subject to annual adjustment. The figures in this brochure reflect illustrative 2026 amounts.
§ The 10% early-withdrawal penalty (IRC §72(t)) applies to non-qualified distributions of earnings and to conversion amounts within the applicable five-year period, unless a statutory exception applies (e.g., death, disability, substantially equal periodic payments, qualified higher-education expenses, first-time home purchase up to $10,000).
§ Cumulus does not provide legal or tax advice. The information in this brochure is general in nature and should not be relied upon in place of personalized advice from a qualified tax or legal professional.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
ONLINE	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
PRIVATE OFFICE	Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.